## NEED TO KNOW

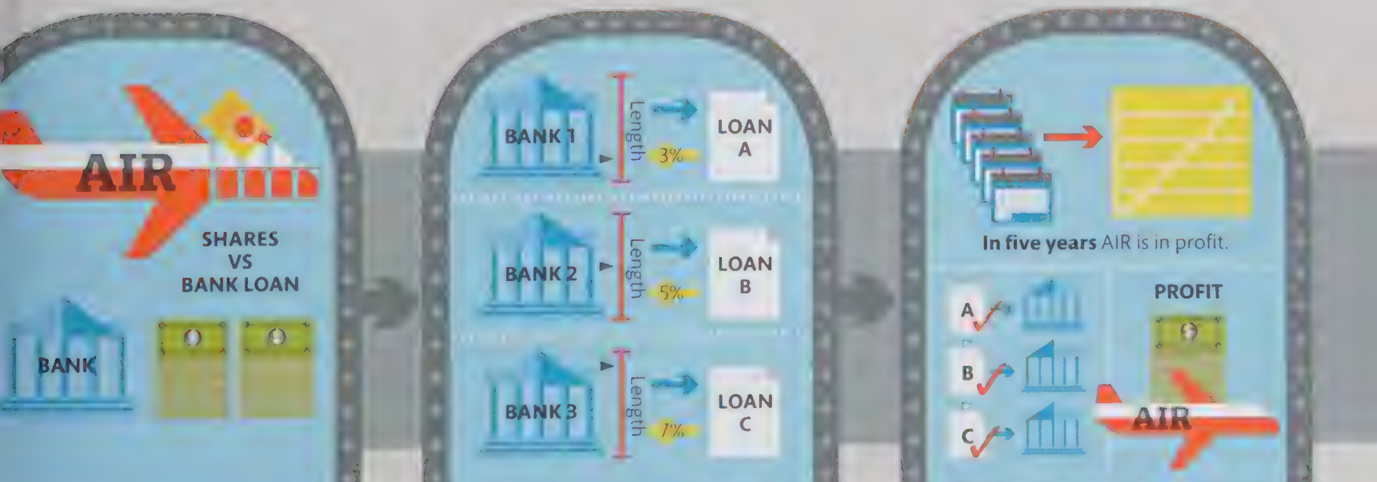
- **Creditors** Banks, loan companies, and individuals to whom a firm owes money.
- **Dividends** Profits paid to a company's shareholders.
- **Interest payment** The amount of interest charged on a loan. This is usually fixed and has to be paid on time in installments—even if the company is struggling and losing money.
- **Lifecycle** The "debt phase" a company is in. Start-ups tend to be funded by small bank loans and seed capital, turning to venture capital when they expand, which may involve issuing shares.

## GETTING THE BALANCE RIGHT

A company that borrows money as opposed to issuing shares has fixed liabilities and a time table for repayment. It retains more independence as the creditors don't have a share of the profits or a say in how the company is run. There are also tax advantages—it is cheaper for a firm to bear the cost of debt than equity.


**Too much debt** and it won't attract any lenders, as it is seen as too risky. But using debt, it is able to retain more of its profits.

**Too little debt**, and it may be forced to give away too much control and profits to new shareholders.




**In order to** retain control of its own decisions, AIR opts for a bank loan rather than selling shares in its ownership.

**The firm** opts for a debt package from three different banks. Each charge different rates and terms. A contract is drawn up.

**In five years** AIR is in profit.

**AIR does not** need to pay any of its profit to its creditors. The company only has to repay each loan at the end of its respective term.